DUOL | Watch / Defer

Valuation date: September 21, 2026. Prepared for a buy-side investment committee with no existing position. USD millions unless per share. Investment horizon: 3-5 years. AI assistance is disclosed in Validation-and-AI-Use.pdf.

Decision and valuation

I recommend deferring initiation at the dated market price of **$149.42**. My five-year operating DCF gives **$137.57 per share**, with causal low/base/high cases of **$114.20 / $137.57 / $165.01**. Base value is about 7.9% below market; even the favorable operating case offers only about 10.4% upside, against roughly 23.6% downside in the low case. These are conditional estimates, not confidence bounds or a guaranteed floor. The model does not support a sufficiently robust valuation cushion to initiate.

Duolingo's subscriptions and engagement can support growth, but monetization must cover AI delivery costs, product development and stock compensation. I anchor 2026 revenue at $1,207m, gross margin at 71.6% and SBC at 15% of revenue in the Q2 shareholder letter. Later growth reaccelerates to 18% before fading to 10% by 2030: my judgment, not management guidance. SBC remains an economic operating cost rather than an automatic free-cash-flow add-back.

Cash flow, normalization and valuation bridge

FY2025 reported net income of $414.065m includes a $256.7m valuation-allowance release. Removing other nonoperating income and replacing the total reported tax line with a 24% normal tax gives normalized equity earnings of **$137.409m**. Reported CFO less PPE and software spending is $360.424m; I do not substitute it for operating FCFF because it adds back SBC and includes interest.

Component	Base result
WACC / terminal growth	8.2764% / 3.00%
PV of explicit FCFF / terminal value	$878.612m / $4,732.633m
Enterprise value	$5,611.245m
Estimated dated excess liquidity / debt	+$1,363.728m / $0
Equity value / diluted shares	$6,974.972m / 50.7m
Equity value per share	$137.57

The bridge starts with $1,180.887m cash and $235.672m investments, adds $49.466m estimated elapsed-period cash generation, and deducts approximately $2.297m repurchase payments ($1.622m new trades plus $0.675m June payable settlement) and a $100m operating reserve. Cash generation reconciles to the cash-flow statement; settlement by September 21 is assumed. Forecast terminal cash is not added again. Terminal value supplies **84.34% of EV**.

Causal cases and market expectations

Case	Change relative to base	Value/share
Low	Revenue growth −3pp; gross margin −1pp; R&D ratio +1pp	$114.20
Base	Guided first year; stated growth fade and cost paths	$137.57
High	Revenue growth +3pp; gross margin +1pp; R&D ratio −1pp	$165.01

Holding other inputs fixed, the market price requires approximately 7.78% WACC, 3.53% perpetual growth, or a +2.32pp shift to the whole revenue-growth path. These are separate reverse-DCF explanations, not observed investor forecasts. Rankings depend on tested ranges: growth leads at ±3pp; at equal ±1pp shocks, gross margin slightly exceeds SBC for value, and both exceed growth.

Model risks I want the committee to weigh

Named stress (one change)	Value/share
Growth 13/13/11/9% after 2026 (no reacceleration)	$127.16
Growth at the bookings pace, 11/11/10/9%	$122.63
Beta 1.0 (WACC 8.89%)	$125.56
Terminal ROIC 20% instead of the implied ~101%	$126.01

The 2027 reacceleration is my weakest assumption: FY2026 bookings guidance is only +10.9% (Q3 +8.9%), and bookings lead subscription revenue. My regression beta of 0.85 has an R-squared of 0.045 and an approximate 95% normal interval of −0.16 to 1.86, so the 8.28% WACC is imprecise. Ignoring the $206m deferred tax asset is conservative, worth at most about $4 per share. Every stress points lower, so none reverses Watch / Defer; together they move the case toward Do Not Initiate.

Multiples and disagreement

On the same diluted-share and cash-bridge convention, market EV/FY2025 revenue is **5.99×** versus **5.41×** at DCF value; EV/EBITDA retaining SBC is **41.42×** versus **37.42×**. Equity/reported earnings is **18.30×**, but equity/normalized earnings is **55.13×**. The low reported multiple is driven by the tax benefit. My predeclared peer policy excludes COUR (negative GAAP EPS) and UDMY (merged into COUR in May 2026), so I assert no peer target and do not average methods.

Monitoring and reversal

I will reassess after the next two reports, refreshing price, cash bridge and guidance. Initiation requires a price at or below the current low case plus evidence supporting the base path. Gross margin below 70.6%, growth 3pp below the path, SBC above 17% of revenue, or FY2027 bookings growth below 13% triggers a rebuild; persistent deterioration changes the action to Do Not Initiate. Failed source, articulation or bridge checks suspend the numerical recommendation.